million tonnes to about 7.0 million tonnes, and cement production from approximately 4.8 million tonnes to about 22.5 million tonnes. Almost the entire capacity of 5 million tonnes for fertilizer production came into existence after 1955.[19]

The Challenges of Development Banking

Parekh observed that often, regional economic disparities were sought to be corrected by dispersing industrial enterprises to correct the imbalances. Once such projects were mooted, then, given political and social pressures, it was difficult to turn back even if financial viability was marginal or doubtful. Such risks were inherent in the business of development financing. Compulsions of development required that banking took second place in certain cases, with heavy risks being borne knowingly. ICICI, like other institutions, also faced such problems and paid a price.

Overruns in cost and in time can seriously impact a project. ICICI's experience showed that cost overruns and delays were not abnormal and should be provided for. But where the overruns exceeded certain limits, they created serious problems. In such cases, a fresh mid-stream reassessment became necessary and financial estimates had to be revised. ICICI did have its share of bad experiences where it lost heavily.[20]

Until 1957, ICICI had not sanctioned any amount out of the first foreign currency loan of US $10 million sanctioned by the World Bank. The foreign currency crisis led to an increased demand for foreign currency loans. The ICICI Board decided that to conserve the Corporation's foreign currency resources and distribute them as widely as possible, it would restrict the grant of foreign currency loans to companies belonging to any one business group to a total of US $1 million only. When the first loan was fully utilized, ICICI approached the World Bank for a further line of credit. The World Bank was responsive to India's requirements and appreciative of the policy direction given by ICICI's new management. ICICI continued to support new entrepreneurs and when fresh funds were obtained from the World Bank, it increased the limit set for companies belonging to one group commensurate with its increasing foreign currency resources.

The period 1958–62 was marked by a tremendous upsurge in ICICI's foreign currency loan operations. But its rupee loans tended to have a